THE EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED
REPORT OF THE DIRECTORS
FOR THE YEAR ENDED 30 JUNE 2011

The directors present their report together with the audited financial statements of the company for the year ended 30 June 2011.

1. PRINCIPAL ACTIVITIES

   The principal activity of the company is the manufacture and sale of cement.

2. RESULTS

   The results for the year are set out on page 7.

3. DIVIDENDS

   Subject to the approval of the shareholders at the annual general meeting, the directors recommend that a first and final dividend of KShs 0.50 per share be paid for the year ended 30 June 2011.

4. DIRECTORS

   The current board of directors is shown on page 1. The following changes have taken place since 1 July 2010:

   - On 22 July 2010, Eng John Nyambok resigned as Managing Director and Mr Kephar Tande was appointed acting Managing Director with effect from 23 July 2010. He was later confirmed to the position on 16 November 2010.

5. AUDITORS

   The Auditor General is responsible for the statutory audit of the company's books of account in accordance with Section 14 and Section 39(i) of the Public Audit Act, 2003, which empowers the Auditor-General to nominate other auditors to carry out the audit on his behalf.

   Ernst & Young were nominated by the Auditor-General to carry out the audit for the year ended 30 June 2011.

By Order of the Board

JLG Maonga
Secretary

Nairobi

27 October 2011
Date

THE EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED
STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2011

ASSETS	Note	2011 KShs'000	2010 KShs'000
NON CURRENT ASSETS			
Property, plant and equipment	4	7,657,923	6,645,271
Capital work- in- progress	5	217,453	915,477
Intangible assets	6	1,233	1,044
Prepaid operating leases	7	11,681	11,744
Investment properties	8	1,495,000	1,495,000
Loan swap asset	9	916,925	-
Restricted deposits	10	58,586	57,349
		10,358,801	9,125,885
CURRENT ASSETS			
Inventories	11	1,551,254	1,189,533
Trade and other receivables	12	964,503	671,977
Amount due from related party	13	5,703	5,769
Tax recoverable	14 (a)	86,236	92,622
Short term deposits	10	348,143	688,585
Bank balances and cash	15	216,231	263,194
		3,172,070	2,911,680
TOTAL ASSETS		13,530,871	12,037,565
EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Share capital	16(a)	450,000	450,000
Share premium	16(b)	648,000	648,000
Asset revaluation reserve	16(c)	1,240,771	1,261,760
Retained earnings		3,923,685	3,341,441
TOTAL EQUITY		6,262,456	5,701,201
NON CURRENT LIABILITIES			
Staff gratuity	18	517,528	437,459
Deferred tax liability	19	312,060	999,720
Long - term loan	20	3,279,403	3,040,555
Loan swap liability	9	929,580	-
Obligations under finance leases	21	129,665	21,980
		5,168,236	4,499,714
CURRENT LIABILITIES			
Current portion of long - term loan	20	407,522	361,632
Obligations under finance leases	21	61,462	13,100
Bank overdraft	22	1,695	-
Trade and other payables	23	1,629,500	1,461,918
		2,100,179	1,836,650
TOTAL EQUITY AND LIABILITIES		13,530,871	12,037,565

The financial statements were approved by the Board of Directors on 22 October, 2011
and signed on its behalf by:-

....................................)
) Directors
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THE EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED
STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 JUNE 2011

	Note	2011 KShs'000	2010 KShs'000
REVENUE	24	10,172,140	9,408,711
COST OF SALES	25	(7,803,463)	(7,375,924)
GROSS PROFIT		2,368,677	2,032,787
Other operating income	26	30,101	14,511
Provisions written back	27	144,945	2,335
Farm net loss	28	-	(9,321)
		2,543,723	2,040,312
EXPENSES			
Selling and distribution	29	(679,729)	(586,808)
Administration and establishment	30	(1,050,845)	(1,194,505)
Other operating expenses	31	(159,509)	(168,984)
		(1,890,083)	(1,950,297)
PROFIT FROM OPERATIONS		653,640	90,015
FINANCE INCOME	32	9,975	105,113
FINANCE COSTS	33	(126,765)	(82,523)
EXCHANGE LOSS ON FOREIGN CURRENCY LOAN	34	(655,909)	(451,176)
LOSS BEFORE TAX	35	(119,059)	(338,571)
INCOME TAX CREDIT	14(b)	680,314	54,520
PROFIT/(LOSS) FOR THE YEAR		561,255	(284,051)
OTHER COMPREHENSIVE INCOME		-	-
TOTAL COMPREHENSIVE INCOME		561,255	(284,051)
EARNINGS/(LOSS) PER SHARE			
Basic and diluted (KShs)	36	6.24	(3.16)

THE EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2011

	Share capital KShs'000	Share premium KShs'000	Asset revaluation reserve KShs'000	Retained Earnings KShs'000	Total KShs'000
t 1 July 2009 Restated	450,000	648,000	1,281,247	3,723,005	6,102,252
ransfer of excess depreciation	-	-	(18,339)	18,339	-
urplus realised on disposal of revalued assets	-	-	(346)	346	-
npairment of equipment	-	-	(802)	802	-
oss for the year	-	-	-	(284,051)	(284,051)
ther comprehensive income	-	-	-	-	-
ividends (note 17)	-	-	-	(117,000)	(117,000)
t 30 June 2010	450,000	648,000	1,261,760	3,341,441	5,701,201
t 1 July 2010	450,000	648,000	1,261,760	3,341,441	5,701,201
ransfer of excess depreciation	-	-	(18,339)	18,339	-
urplus realised on disposal of revalued assets	-	-	(1,374)	1,374	-
npairment of equipment	-	-	(1,276)	1,276	-
rofit for the year	-	-	-	561,255	561,255
ther comprehensive income	-	-	-	-	-
t 30 June 2011	450,000	648,000	1,240,771	3,923,685	6,262,456

THE EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 JUNE 2011

	Note	2011 KShs'000	2010 KShs'000
OPERATING ACTIVITIES			
Cash generated from operations	38(a)	698,282	441,015
Interest paid	38(c)	(104,128)	(84,526)
Interest received	32	9,975	105,113
Income tax paid		(501)	(16,763)
Net cash generated from operating activities		603,628	444,839
INVESTING ACTIVITIES			
Purchase of property, plant and equipment	38(e)	(71,499)	(144,096)
Capital work-in-progress		(545,394)	(440,147)
Intangible assets		(1,849)	-
Proceeds from sale of equipment		3,110	712
Investment in restricted deposits		(1,236)	(1,416)
Proceeds from sale of biological assets		-	4,991
Net cash used in investing activities		(616,868)	(579,956)
FINANCING ACTIVITIES			
Dividend paid	17	-	(117,000)
Repayment of lease obligation	38(d)	(9,297)	-
Loan repayment	38(b)	(366,563)	(308,066)
Net cash used in financing activities		(375,860)	(425,066)
DECREASE IN CASH AND CASH EQUIVALENTS		(389,100)	(560,183)
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR		951,779	1,511,962
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	38(f)	562,679	951,779

1. NEW ACCOUNTING STANDARDS, AMENDMENTS AND INTERPRETATIONS

The accounting policies adopted are consistent with those of the previous year except as follows:

The company has adopted the following new standards, amendments and interpretations, which became effective as of 1 July 2010.

IFRS 2, Group Cash-settled Share-based Payment Arrangements - Effective for annual periods beginning on or after 1 January 2010. IFRS 2 has been amended to clarify the accounting for group cash-settled share-based payment transactions, where a subsidiary receives goods or services from employees or suppliers, but the parent or another entity in the group pays for those goods or services. The amendments clarify that the scope of IFRS 2 includes such transactions. The amendment incorporates the guidance from IFRIC 8, Scope of IFRS 2, and IFRIC 11, Group and Treasury Share Transactions and hence both IFRIC 8 and IFRIC 11 have been withdrawn. This amendment had no impact on the financial position or performance of the company.

IFRS 1, First-time Adoption of International Financial Reporting Standards - Additional Exemptions for First-time Adopters (Amendments). Effective for annual periods beginning on or after 1 January 2010. IFRS 1 has been amended to provide additional exemptions from full retrospective application of IFRS for the measurement of oil & gas assets and leases as follows:

Entities that have measured exploration and evaluation assets, and assets in the development or production phases using 'full cost accounting', can measure these assets at the amounts determined under previous GAAP at the date of transition. Where an entity uses this exemption, it must test all such assets for impairment at the date of transition to IFRS.

Where an entity uses the above deemed cost exemption for oil and gas assets, the related decommissioning and restoration liabilities are measured at the date of transition in accordance with IAS 37, Provisions, Contingent Liabilities and Contingent Assets. Any adjustment of the carrying amount as recognised under previous GAAP is recognised in retained earnings.

Where an entity has, under previous GAAP, made the same determination of whether an arrangement contains a lease as required by IFRIC 4, Determining whether an arrangement contains a lease, but that assessment was made at a date other than that required by IFRIC 4, the entity does not need to reassess that determination.

IFRS 1 First-time Adoption of International Financial Reporting Standards - Limited Exemption from Comparative IFRS 7 Disclosures for First-time Adopters - Effective for annual periods beginning on or after 1 July 2010. IFRS 1 has been amended to allow first-time adopters to utilise the transitional provisions of IFRS 7 Financial Instruments: Disclosures as they relate to the March 2009 amendments to the standard. These provisions give relief from providing comparative information in the disclosures required by the amendments in the first year of application.